

Capital Cities bought back 47 percent of its shares.

Another great example from the book is John Malone at TCI, the cable operator. His track record was phenomenal. Every \$1 invested in 1973 turned into \$900 by 1998. That's 30 percent annually for a long time.

Competitors returned 20 percent, while the market overall returned just 14 percent. Malone also bought back 40 percent of the shares outstanding, generating a return of over 40 percent on the repurchases. (I should add that all the Outsiders generated big returns on their repurchases. They knew how to buy low.)

Consider one more example: Bill Stiritz at Ralston Purina. He focused the company on a basic metric: return on equity. To boost it, he used debt.

He sold units that did not meet his high hurdles. It all worked brilliantly.

One dollar invested with him was worth \$57 19 years later. That's a 20 percent annual return, topping peers (17.7 percent) and the market (14.7 percent). He followed many of the principles outlined above. Stiritz also bought back lots of stock, retiring 60 percent of Ralston's shares.

I cannot do justice to the depth of their stories here. Thorndike does an admirable job giving you a concise portrait of the CEOs themselves.

You get a sense of their values and where they came from. He also fleshes out how the Outsiders pushed the key principles of their tiny intellectual village that I outlined earlier.

In the end, there is no exact formula. Nonetheless, Thorndike has done us a great service in distilling the essential features of the Outsiders and how they used their tool kit. They "disdained dividends, made disciplined (and occasionally large) acquisitions, used leverage selectively, bought back lots of stock, minimized taxes, ran decentralized organizations and focused on cash flow over reported net income."

The Outsiders did not always do all these things. The right tool from the tool kit varied by circumstance. But all thought like investors and used the tool kit intelligently to make a huge impact in a way conventional CEOs fail to do.

I've already recommended this book to several CEOs and fellow